

MEMORANDUM OF UNDERSTANDING

This Memorandum of Understanding (the "Agreement") is entered into by and between Dallas Center-Grimes Community School District (the "District") and the Dallas Center-Grimes Booster Club (the "Booster Club").

WHEREAS, the Booster Club exists to support the District's High School athletic programs and its corresponding athletic facilities; and

WHEREAS, the District seeks to work cooperatively with the Booster Club in furtherance of its support for the District's athletic programs and facilities; and

WHEREAS, on or about May 25th the District purchased [or will purchase] a Varsity Group Z Series 6.67 video board ("Video Board") for its High School Athletic Complex; and

WHEREAS, the parties desire to enter into this Agreement to allow the Booster Club to retain exclusive advertising and promotion rights in exchange for quarterly payments to reimburse the District for the cost of the Video Board; and

WHEREAS, This Agreement sets forth the rights, responsibilities, and obligations of both parties with respect to the Video Board and the advertising and promotion rights granted to the Booster Club.

NOW THEREFORE, the parties agree as follows:

1. Terms and Conditions. In exchange for timely payments as provided in Section 2, the District grants exclusive advertising and promotion rights on the Video Board to the Booster Club, subject to the following conditions:
 - 1.1. Video Board shall remain in the District's High School Athletic Complex during the lifetime of the Video Board's use, except as may be required in Section 4
 - 1.2. The Booster Club retains exclusive advertising and promotion rights on the Video Board as long as the Video Board is in use (subject to all applicable laws and District policies) and the Booster Club is current on all payments under this Agreement. Notwithstanding the foregoing, the District reserves the right to have other temporary advertisements displayed on the Video Board.
 - 1.3. The Booster Club is responsible for any and all costs associated with the artwork or graphics for the advertisement or promotional material to be displayed on the Video Board by the Booster Club.
 - 1.4. All maintenance and upkeep costs for the Video Board shall be the responsibility and expense of the District, and as such, the District shall in its sole discretion determine the useful life span of the Video Board.
2. Payment. The Booster Club agrees to pay the District a total of \$200,000 to reimburse for the District's purchase of the Video Board. The Booster Club shall pay \$50,000 upon execution of

this Agreement, with the remaining \$150,000 to be paid in six (6) quarterly installments of \$25,000 each, due on October 1, 2026 and continuing every three (3) months thereafter through January 1, 2028 (i.e., January 1, 2027, April 1, 2027, July 1, 2027, October 1, 2027, and January 1, 2028).

The Booster Club's exclusive advertising and promotion rights are contingent upon timely payment of all installments. Failure to make any payment within ten (10) days of its due date, may result in suspension or termination of these rights until the delinquent payment is made.

3. Ownership. The District shall at all times retain sole and exclusive ownership of the Video Board. The Booster Club's rights under this Agreement are limited to advertising and promotion as expressly set forth herein and do not convey any ownership, title, or other property interest in the Video Board to the Booster Club.
4. Alternate Use. If the Video Board's original purpose or location becomes impossible, impractical, or illegal to carry out, the Video Board may be used to support other purposes or locations of the District and, as much as possible, be consistent with the original intentions.
5. Compliance. All advertising and promotions displayed on the Video Board under this Agreement shall conform to all applicable laws and the District's policies. No advertising and promotion of products or services that are illegal for minors or which are otherwise not suitable for students are permitted. All advertising and promotions shall be subject to review and approval by the District prior to display.
6. No Warranty. The District makes no warranty of any kind to the Booster Club under this Agreement regarding promotion and advertising rights, including but not limited to, any warranty as to the number of viewers in any audience to which the advertising or promotion will be displayed or viewed. The District also makes no guarantee as to continuous operability of the Video Board and shall not be responsible for any temporary or ongoing outage issues so long as the District is exercising otherwise reasonable care in the maintenance and upkeep of the Video Board.
7. No Endorsement. The District, by entering into this Agreement with the Booster Club, does not endorse the products/services the Booster Club advertises or promotes on the video board, and the District is under no obligation to refer employees, students, or others to such products/services.
8. Indemnification. The Booster Club agrees to indemnify and hold harmless the District, its directors, officers, agents, and employees, from and against any and all claims, actions, suits, damages, liabilities, losses, expenses (including reasonable attorney fees) or other proceedings which may arise as the result of the Booster Club's acts or omissions pursuant to this Agreement or the Booster Club's advertising and promotion hereunder.
9. Insurance. The Booster Club shall, during the duration of this Agreement, provide insurance coverage on all advertising and promotional materials displayed on the Video Board at the Booster Club's expense.
10. Enforcement and Remedies. The District may enforce the terms of this Agreement, including the suspension or termination of advertising and promotion rights, in the event of non-payment,

breach of compliance, or violation of District policies. The Booster Club acknowledges that timely payments and compliance with all terms are conditions precedent to maintaining its exclusive rights under this Agreement.

11. No Assignment. This Agreement shall not be assigned by the Booster Club, nor shall the Booster Club grant any other person any of its rights hereunder without the prior written consent of the District.
12. Applicable Law. This Agreement shall be governed by the laws of the State of Iowa. If any provision of this Agreement is or becomes unenforceable, the other provisions shall remain valid and enforceable to the maximum extent possible. Any dispute arising under this Agreement shall be maintained in Dallas County, Iowa.
13. Attorney's Fees. In the event that it becomes necessary for either party to institute legal proceedings against the other party under this Agreement, it is expressly agreed that the prevailing party in any such action shall be entitled to recover from the non-prevailing party all costs related to such collection, including reasonable attorney's fees and all expert fees incurred. The obligations in this section shall survive termination of this Agreement.
14. Entire Agreement. This Agreement constitutes the entire understanding between the parties with respect to the subject matter of this Agreement and supersedes all other agreements, whether written or oral, between the parties.
15. Amendments. The parties may modify the provisions of this Agreement by mutual concurrence expressed in writing.
16. Waiver. No waiver under this Agreement will be effective unless it is in writing and signed by the party granting the waiver.
17. Severability. The parties agree that if a dispute between the parties arises out of this Agreement, they would want the court to interpret this Agreement as follows:
 - 17.1. With respect to any provision that it holds to be unenforceable, by modifying that provision to the minimum extent necessary to make it enforceable or, if that modification is not permitted by law, by disregarding that provision;
 - 17.2. If an unenforceable provision is modified or disregarded in accordance with this section, by holding that the rest of this Agreement will remain in effect;
 - 17.3. By holding that any unenforceable provision will remain as written in any circumstances other than those in which the provision is held to be unenforceable; and
 - 17.4. If modifying or disregarding the unenforceable provision would result in failure of an essential purpose of this Agreement, by holding the entire Agreement unenforceable.
18. Counterparts. This Agreement may be executed in one or more counterparts. Taken together, these counterparts will constitute one Agreement.

The parties hereto have duly approved and executed this Agreement on the dates set forth below.

Dallas Center-Grimes Community School District Dallas Center-Grimes Booster Club

By: _____ By: _____
Ryan Carpenter, Board President Title: _____

By: _____ Date: _____
Michelle Wearmouth, Board Secretary

Date: _____